agnostic view. We no longer attach any political economy significance to the exchange rate and have grown to look upon it as a pure macro variable. We understand that not just a weak rupee, but even a strong rupee can cause pain. This was clearly in evidence going by the broad political support for the exporters' agitation—when the rupee appreciated sharply in the pre-crisis years of 2006–08—that the Reserve Bank should check the rise of the rupee.

Shared Responsibility but Differing Messages

Unlike monetary and regulatory policies where the Reserve Bank is, or at any rate, should be autonomous, management of the exchange rate is a shared responsibility of the government and the bank. In normal times, the Reserve Bank typically acts on its own and keeps the government in the loop, but in times of crisis, there is invariably consultation, coordination and, where necessary, synchronized action. During these 'tantrum months', Chidambaram and I met several times; deputy governors Harun Khan and Urjit Patel were in constant touch with Finance Secretary Arvind Mayaram and Chief Economic Adviser Raghuram Rajan. We were largely agreed on the overall strategy for managing the exchange rate although there were the inevitable differences on tactics and timing. Quite obviously, on neither side did we have an idea of how much bleeding would take place and when it would stop.

Even as we were engaged in a fierce exchange rate defence, one issue that troubled me all through was the narrative that was taking shape about the origin of the problem. The government, in particular, was attempting to paint the rupee problem as caused entirely by external factors. Sure, the timing and pace of depreciation were a response to the impending 'taper' of the ultra-easy monetary policy by the Fed. But global factors were just the proximate cause for our exchange rate turmoil; the root cause lay in our domestic economy where, for years, we had been heaping pressure on the rupee, an issue that the Reserve Bank consistently raised in its monetary